announcement. Be aware of when earnings reports are due because they can affect the stock dramatically.

Sample Trade

Kristy was intrigued by the scallop shown on the left in **Figure 57.5**. The irregular bottom shape in the bowl concerned her as did the falling volume trend. But she liked the prospects for the restaurant company, and her fundamental analysis was thorough, tasty, and filling.

Before she bought the stock at point C, she computed the estimated gain and compared it to the risk of loss. The targeted rise was to 18.75 (she calculated using the right-side peak 3 days earlier). The risk point was 14, the high of the left side and a massive support area reached in early 1994. At her purchase point of 15.25, the risk was 1.25 (15.25 – 14) and the potential reward was 3.50 (18.75 – 15.25). The nearly three-to-one ratio was high enough to risk a trade.

I wrinkled my nose.

“What?” she asked.

“I don't like risk–reward ratios.”

“Why?”

“Often the trades I take have lousy ratios, but after I sell, the reward comes in many times the risk. If I obeyed the ratio, I'd have skipped the trade.”